

through painful spending cuts.

- **Thinly veiled partisans** who opportunistically grab the crisis as proof the other guy is unfit to govern.
- **Analysts** trying to turn one good call into a new business model.
- **One-sided websites** that never see any positive data in anything; their URLs tend to have “Doom,” “Collapse,” or “ZeroHedge” in their titles.

It is no coincidence that negative predictions increase after major recessions or market collapses. They are predicting what just occurred, not what is likely to happen. And they are not making their followers any money.

Listening to their advice, their readers miss the greatest market rallies. They pile into commodities in time for a major collapse; they get frightened out of municipal bonds that have no credit issue or default threat. They otherwise miss opportunities and lose capital.

I have never been a perma-bull—not only because that is not my nature but also because throughout most of my career, equities have always felt like market risk was higher recently than it has been in the past.

But that doesn’t mean that you start paying attention to cranks with terrible track records who are trying to sell you something.



What affects people’s tolerance for risk? It’s not their ability to withstand risk, but in fact it’s whatever the market just did. Let’s find out why.

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[333](#) As of this writing, gold has risen to \$2,600, or up about 650% since 1985; the S&P 500 is at 5859, up 3,700% over the same period.